Volume trend. I used linear regression from the start to end of the pattern and found it trends downward most of the time, but it's near random.

Performance Up/Down volume. I checked performance when volume was trending up or down. This applies only to those patterns that turned down at D. The bull market shows no performance difference, but in bear markets, the performance difference is wider and substantial. Patterns with downward-sloping volume see price drop an average of 24% compared to a 19% decline for those with up-sloping volume.

Trading Tactics

The AB=CD pattern can be a wonderful tool to help predict when price will turn and then make a substantial decline. Once you know the first three turns, you can determine when and at what price the fourth turn will appear. And when turn D appears, the stock will drop. Does it really work like that? Let's find out.

Table 2.3 shows how price behaves after point D.

How often does price reach or exceed D? I checked how often price climbed far enough to reach the calculated price of D. The table shows that nearly all of the patterns reached the target turn.

Table 2.3 Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price reach or exceed D?	95%	98%
How often does price turn at D?	32%	38%
How often does D appear within a week of calculated time?	43%	45%
How many drop to point A?	24%	36%
How many drop to point B?	76%	87%
How many drop to point C?	35%	46%

That's terrific! Swing traders can use this to predict how far price will rise. They can even trade it by buying at the low at C and riding price higher, to